EXHIBIT #3

(c)(2) Definitions: Net Capital (Continued)

(vii) NON-MARKETABLE SECURITIES (Continued)

/09 Marketability of Money Market Instruments (Continued)

Note: For purpose of this interpretation 15c3-1(c)(2)(vii)/09 only, major money markets include: Australia, Austria, Belgium, Canada, Denmark, Finland, France, Germany, Greece, Hong Kong, Ireland, Italy, Japan, Luxembourg, Mexico, Netherlands, New Zealand, Norway, Portugal, Singapore, Spain, Sweden, Switzerland, United States and United Kingdom

/10 Marketability of Nonconvertible Debt Securities Which Are Not Highly Rated

The SEC Division of Market Regulation will not recommend enforcement action to the Commission if broker-dealers apply the haircuts described below to nonconvertible debt securities held in their proprietary accounts which are not rated in one of the four highest rating categories by at least two NRSROs provided the following conditions are met:

1. The securities can be publicly sold without registration with the Commission under Section 5 of the Securities Act of 1933, and
2. Current information concerning the issuer is available to the public. Current information is deemed to be available to the public if:
    a. The issuer filed with the Commission public reports consisting of the most recently required periodic financial report, or
    b. The issuer (provided it is the subject of a bankruptcy proceeding) filed with a bankruptcy court, public information that is sufficient to value the assets and liabilities of the issuer and such information is dated not more than six months prior to the date of the brokerdealer's capital computation.

The current information requirement will also be deem to be satisfied by the existence of current ratings by two NRSROs on any issuance of the issuer. A rating by an NRSRO is considered to be current if the NRSRO itself continues to hold out its rating for the issuance of the issuer. Non-investment grade nonconvertible debt securities shall be treated as follows:

2. The broker-dealer shall deduct from its net worth the following percentages applied to the greater of the gross long or the gross short market value of non-investment grade, nonconvertible debt securities' positions in each of the categories specified below:

    a. An initial issuance of at least $100 million……..15%
    b. An initial issuance of at least $75 million and less than $100 million……..20%
    c. An initial issuance of at least $50 million and less than $75 million……..25%
    d. An initial issuance of at least $20 million and less than $50 million……..50%
    e. An initial issuance of less than $20 million or have been held in inventory for more than 90 days as the result of the failure to complete an underwriting……100%

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Broker-dealers may not include the value of non-investment grade, nonconvertible debt securities, subject to the haircut percentages set forth above, in paragraph (c)(2)(vi)(J) of Rule 15c3-1 for the purpose of netting long or short securities positions under paragraph (c)(2)(vi)(J).

3. The broker-dealer shall take an additional portfolio concentration charge on the securities in categories (b), (c) and (d) above, to the extent the market value of the greater of the gross total long or gross total short positions in categories (b), (c) and (d) combined exceeds 25 percent of the broker-dealer's tentative net capital. The portfolio concentration charge shall be 50 percent of the haircuts otherwise taken on that portion of the total market value of the securities in categories (b), (c) and (d) in excess of 25 percent of tentative net capital. This portfolio concentration charge may be reduced by any undue concentration charge computed in accordance with paragraph (c)(2)(vi)(M) of Rule 15c3-1.

Securities with an initial issuance of less than $20 million will be deemed to be included in category (d) above if the issuer has another outstanding issue of non-investment grade, nonconvertible debt securities, which has an initial issuance of $50 million or more.

Rule 144A debt securities are not deemed to have a ready market pursuant to this interpretation since they cannot be publicly sold.

(SEC Letter to SIA, February 14, 1994) (No. 94-5, May, 1994) (No. 97-6, October 1997)

SEA Rule 15c3-1(c)(2)(vii)/10

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